EQUITY RESEARCH · INITIATION OF COVERAGE

NIKE, Inc.

NKE · Rubber & Plastics Footwear · benchmarked against LULU, DECK, CROX, VFC, COLM

RATING	PRICE TARGET	CURRENT PRICE	IMPLIED RETURN
SELL	$32.94	$37.96	-13.2%

Abhishek Raut · 2026-10-26

Built from SEC EDGAR filings and public market data with Ticker-to-Thesis. Not investment advice.

INVESTMENT SUMMARY

SELL: $32.94 price target implies 13% downside

RATING

SELL

PRICE TARGET

$32.94

IMPLIED RETURN

-13.2%

Investment thesis

- The turnaround is already in the price: at ~$34, the market discounts EBIT margins rebuilding to ~11% by FY31. That is our base case too, so we see fair value, not a bargain.
- FY27 is a reset year: management guides revenue down high-single digits and adj. EPS of $1.15-1.35. We model -8% revenue and a ~5% EBIT margin.
- Self-help is real but back-end loaded: ~$2.5bn of Pace savings by FY31, inventory down 3% y/y and gross margin up 60bp in Q1 support the rebuild; China (-22% in Q1) is the swing factor.

Valuation: Price target $32.94 vs $37.96 current: -13.2% implied return → SELL. DCF (perpetuity growth 2.5%, WACC 9.5%): $33.79 per share; exit-multiple method (9.5x EBITDA): $34.70.

Source: SEC EDGAR (10-K/10-Q XBRL), market data; Ticker-to-Thesis analysis.

COMPANY SNAPSHOT

NIKE: $46.4bn revenue, +0.2% growth and a 8.2% EBIT margin in FY2026

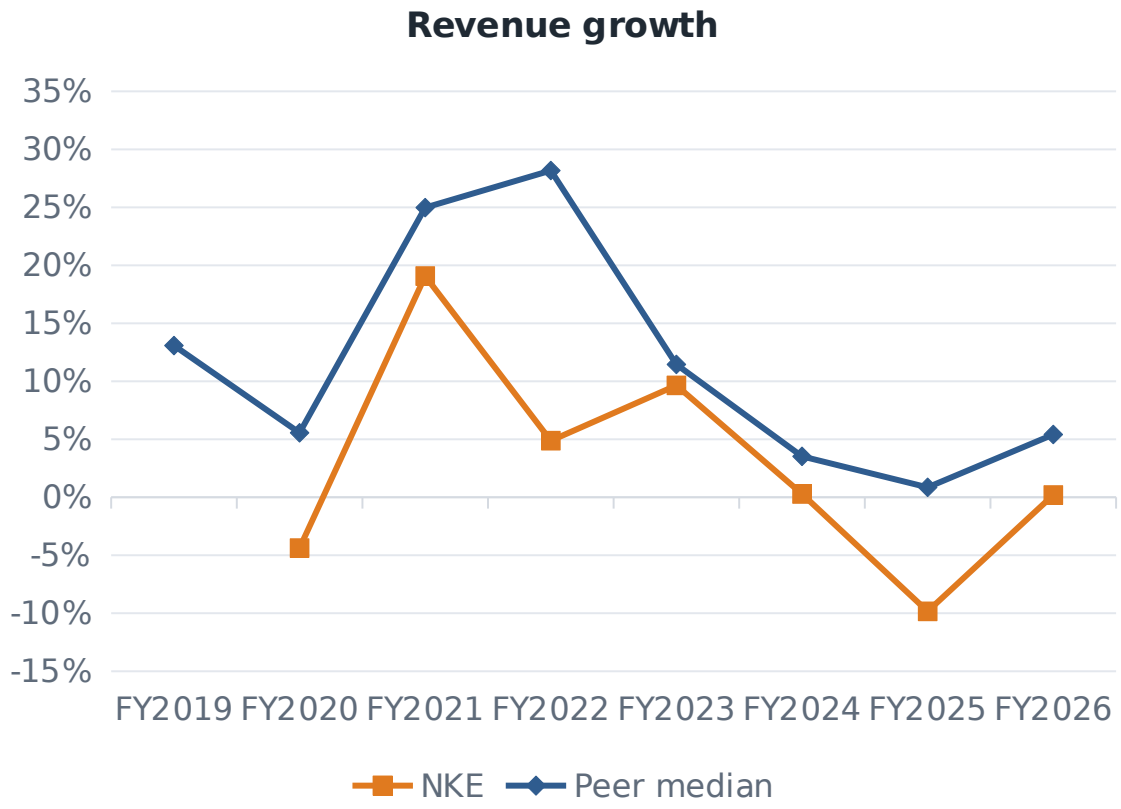
$m	FY2022	FY2023	FY2024	FY2025	FY2026
Revenue	46,710	51,217	51,362	46,309	46,398
Growth	4.9%	9.6%	0.3%	-9.8%	0.2%
Gross margin	46.0%	43.5%	44.6%	42.7%	42.9%
EBIT	6,675	5,915	6,311	3,702	3,797
EBIT margin	14.3%	11.5%	12.3%	8.0%	8.2%
Net income	6,046	5,070	5,700	3,219	3,108
Free cash flow	4,430	4,872	6,617	3,268	2,184
ROIC	59.4%	40.3%	44.7%	25.8%	23.4%
Net debt / EBITDA	-0.5x	-0.3x	-0.4x	-0.3x	-0.2x

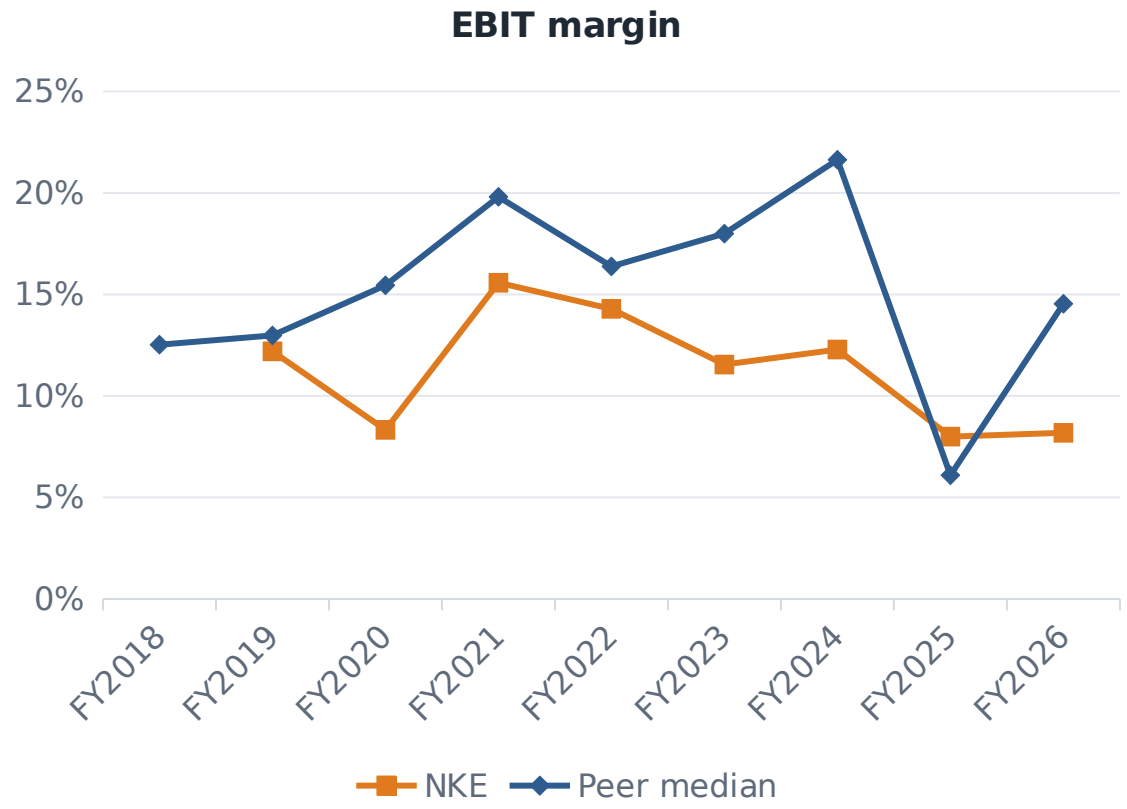
Market cap	**$56.3bn**
Enterprise value	**$55.9bn**
Net debt / (cash)	**($475m)**
EV / EBITDA	**12.3x**
P / E	**18.1x**
52-week range	**$33.87 – $68.59**
Fiscal year end	**05/31**
Industry (SIC)	**3021 Rubber & Plastics Footwear**

Source: SEC EDGAR (10-K/10-Q XBRL), market data; Ticker-to-Thesis analysis.

FINANCIAL PERFORMANCE VS PEERS

EBIT margin is 2.1pp above the peer median; 3-year revenue CAGR -3.2% vs +4.4% for peers





Profitability: EBIT margin of 8.2% ranks at the 58th percentile of the group (peer median 6.1%). Over three years it moved -3.4pp while the peer median moved -3.5pp.

Source: SEC EDGAR (10-K/10-Q XBRL), market data; Ticker-to-Thesis analysis.

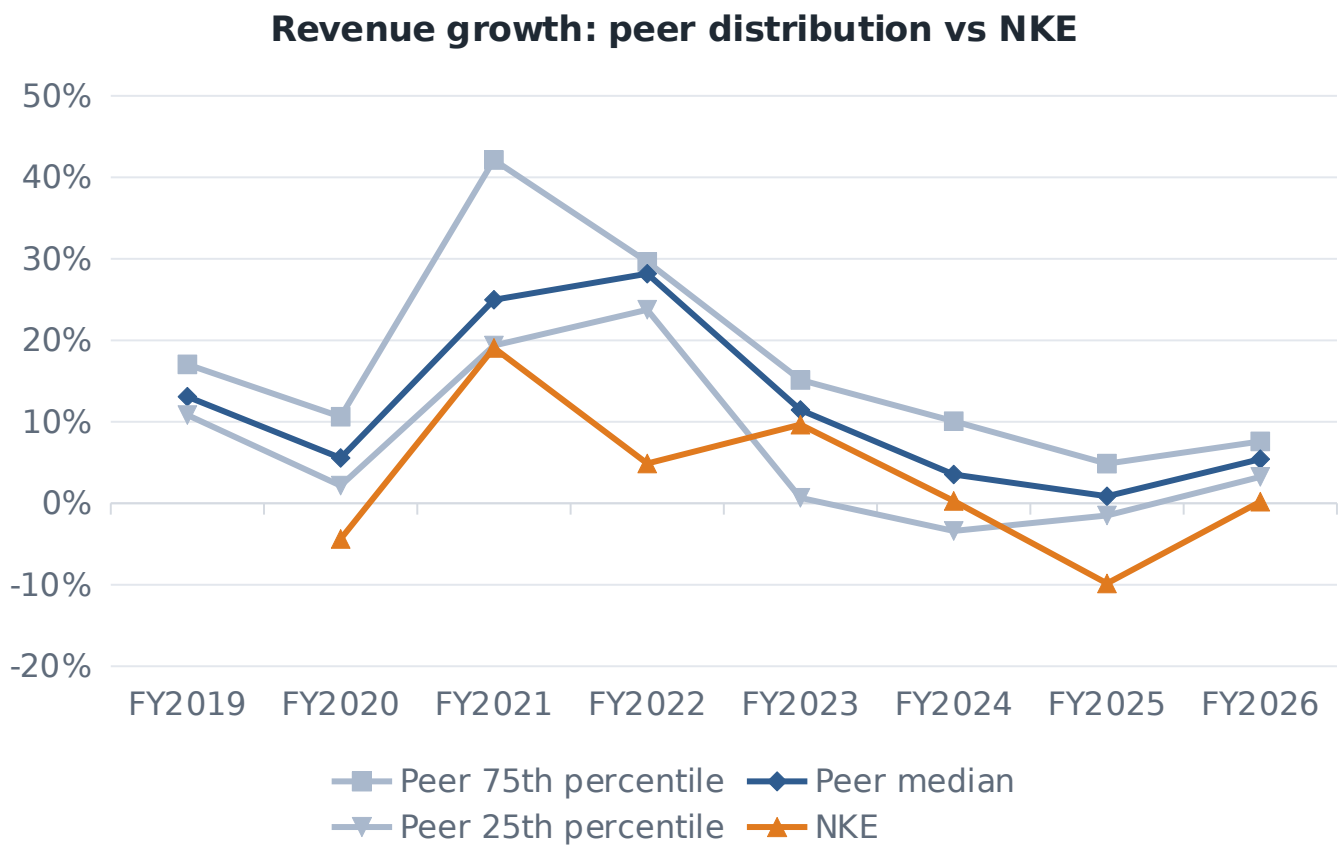
PEER BENCHMARKING

Benchmark scorecard: NKE trails the peer median on 7 of 11 metrics and leads on 3

Metric	NKE	Peer median	Peer range (Q1–Q3)	Percentile	Verdict
Revenue growth	0.2%	1.1%	0.9% – 4.9%	25	Worse
Revenue CAGR (3y)	-3.2%	4.4%	-0.6% – 11.0%	25	Worse
Gross margin	42.9%	56.6%	54.8% – 57.7%	8	Worse
EBIT margin	8.2%	6.1%	6.0% – 19.9%	58	Better
ROIC	23.4%	17.0%	9.0% – 56.8%	58	Better
FCF margin	4.7%	8.3%	6.4% – 16.3%	8	Worse
FCF conversion (FCF / net income)	70.3%	114.7%	95.0% – 146.3%	30	Worse
Net debt / EBITDA	-0.2x	-0.7x	-1.4x – 3.2x	42	Worse
Interest coverage (EBIT / interest)	11.8x	251.3x	3.0x – 912.0x	50	Worse
Inventory days	103 days	115 days	80 days – 129 days	58	Better
Cash conversion cycle	100 days	105 days	87 days – 109 days	50	In line

Percentile: rank within the peer group, oriented so 100 = best (e.g. lower leverage scores higher). Latest fiscal year.

Industry backdrop: peer revenue growth averaged +3.3% a year and margins are contracting



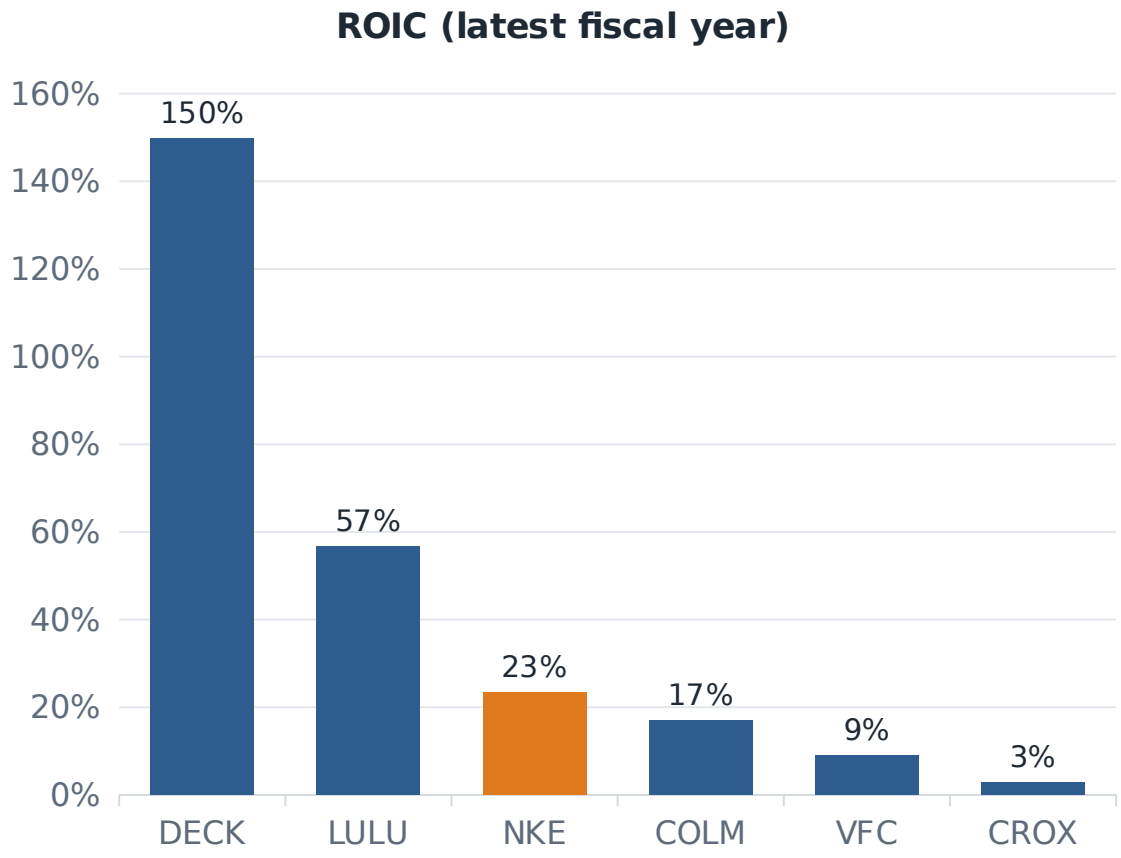
What the peer group tells us

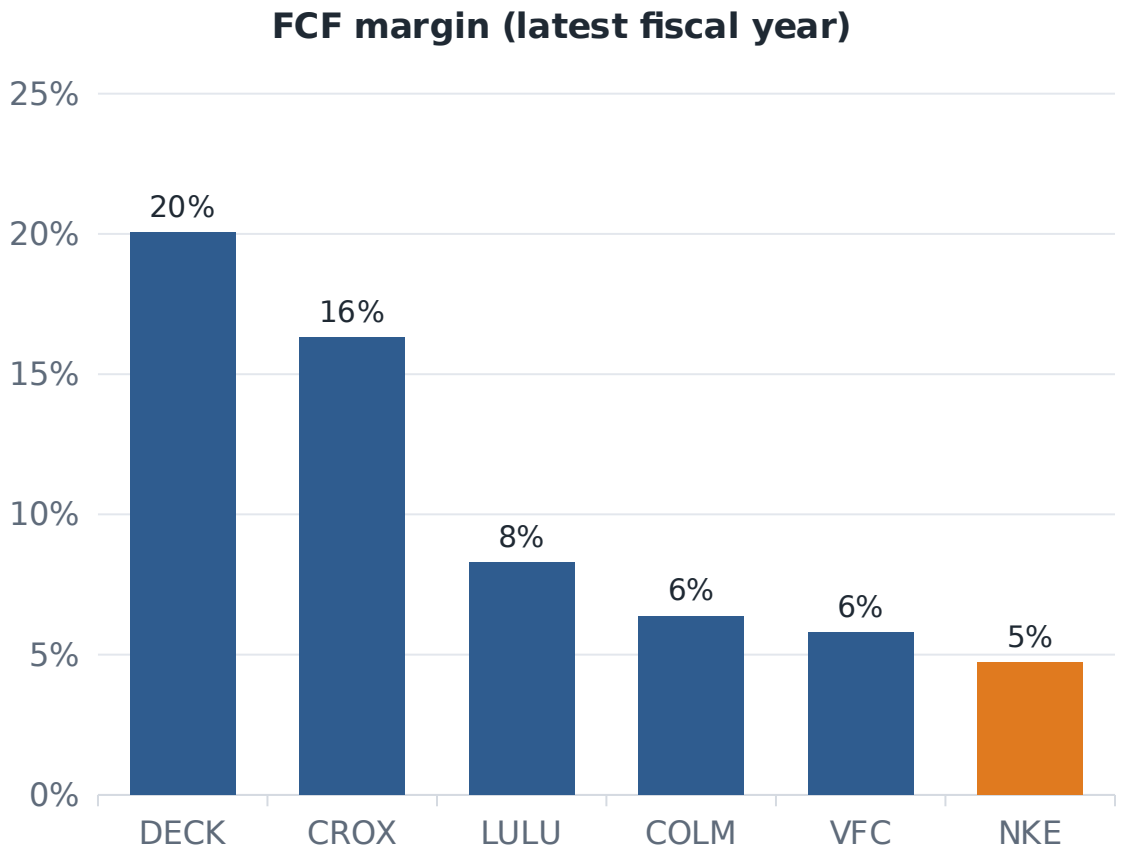
- Peer-group revenue growth has averaged +3.3% a year over the last three years (latest +5.4%); NKE averaged -3.1%.
- Industry EBIT margins are contracting (-3.5pp over three years, now 14.5% at the median).
- Gross margin trend: peers +4.0pp, NKE -0.6pp over three years.

Source: SEC EDGAR (10-K/10-Q XBRL), market data; Ticker-to-Thesis analysis.

RETURNS & CASH GENERATION

Returns and cash: NKE ranks #3 of 6 on ROIC and converts 70% of earnings into free cash flow

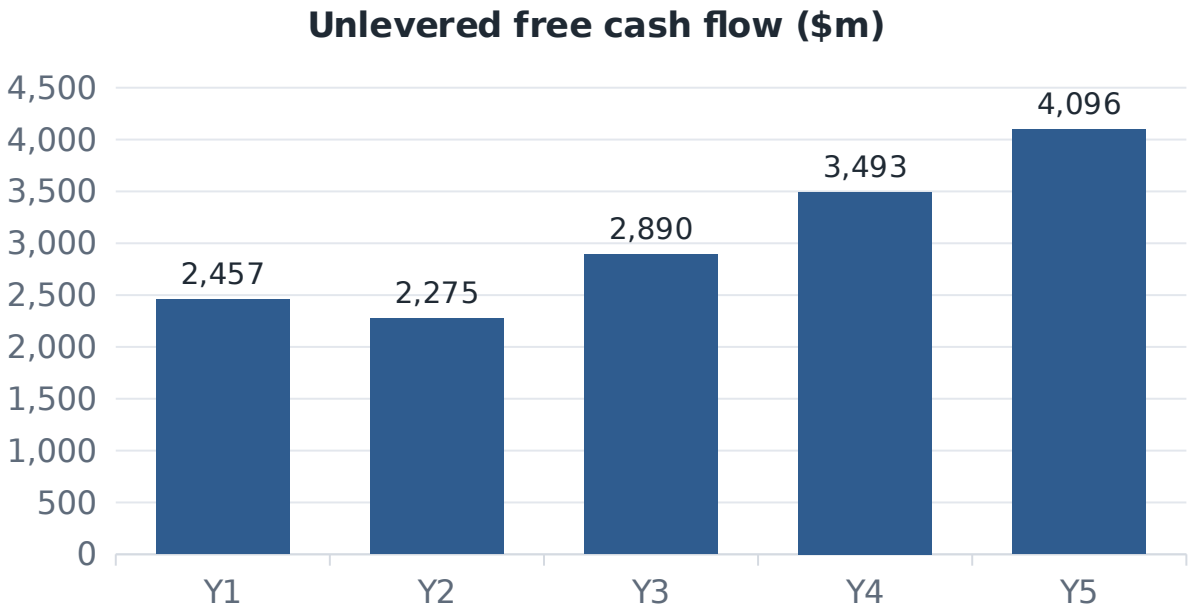




NKE highlighted. ROIC = EBIT × (1 − tax) / average (debt + equity − cash). Source: SEC EDGAR; Ticker-to-Thesis analysis.

VALUATION · DISCOUNTED CASH FLOW

DCF: $33.79 per share at a 9.5% WACC and 2.5% terminal growth



Forecast driver	Y1	Y2	Y3	Y4	Y5
Revenue growth	-8.0%	2.0%	4.0%	5.0%	4.0%
EBIT margin	5.0%	7.0%	9.0%	10.5%	11.5%
Revenue ($m)	42,686	43,540	45,281	47,546	49,447

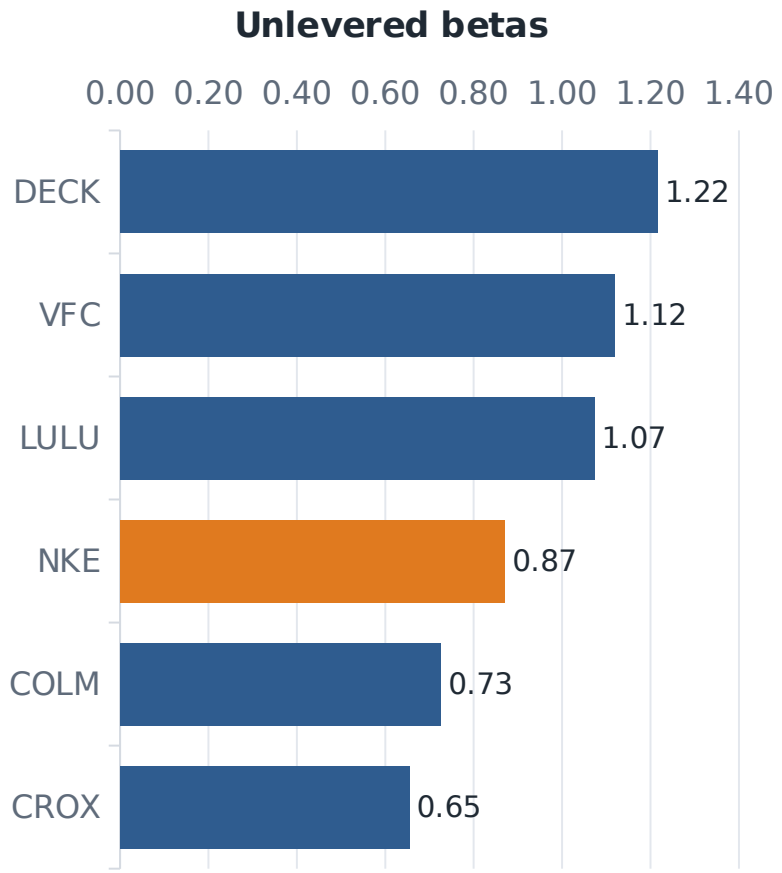
EV bridge ($m)	Value
PV of forecast UFCF	11,890
PV of terminal value	37,784
Enterprise value	**49,674**
Less: net debt	-475
Equity value	50,149
Diluted shares (m)	1,484.2
Value per share	**$33.79**
Terminal value % of EV	76.1%
Implied exit EV/EBITDA	9.2x
Exit-multiple method	$34.70 at 9.5x

UFCF = EBIT × (1 − tax) + D&A − capex − Δ working capital; mid-year discounting. Full model in the Excel workbook.

VALUATION · WACC

Cost of capital: 9.5% WACC from a bottom-up beta of 1.19 and an implied AAA credit rating

Component	Value	Basis
Risk-free rate	5.0%	FRED DGS10 (10-year Treasury), 2026-10-22
Equity risk premium	4.5%	Assumption (config)
Unlevered beta (peer median)	1.07	5 peers, 2y weekly vs S&P 500, Blume-adjusted
Relevered beta	1.19	At NKE's market D/E; own beta 0.96
Cost of equity	10.3%	CAPM: rf + β × ERP
Cost of debt (pre-tax)	5.6%	rf + 0.60% spread (AAA; coverage 11.8x)
Weights (equity / debt)	88% / 12%	Market cap and book debt
WACC	**9.5%**	



Source: SEC EDGAR (10-K/10-Q XBRL), market data; Ticker-to-Thesis analysis.

Sensitivity: every ±0.5pp on WACC moves the DCF value by about $2 per share

WACC \ terminal growth	2.00%	2.25%	2.50%	2.75%	3.00%
8.54%	$37.07	$38.28	$39.59	$41.01	$42.55
9.04%	$34.35	$35.37	$36.46	$37.65	$38.93
9.54%	$31.99	$32.86	$33.79	$34.79	$35.87
10.04%	$29.92	$30.67	$31.47	$32.33	$33.24
10.54%	$28.10	$28.75	$29.45	$30.18	$30.97

Green: ≥15% above the current price ($37.96). Red: ≥10% below. Orange: base case.

Exit-multiple method

WACC \ exit multiple	7.5x	8.5x	9.5x	10.5x	11.5x
8.54%	$30.34	$33.24	$36.14	$39.04	$41.93
9.04%	$29.74	$32.58	$35.41	$38.24	$41.08
9.54%	$29.17	$31.93	$34.70	$37.47	$40.24
10.04%	$28.60	$31.31	$34.02	$36.72	$39.43
10.54%	$28.05	$30.70	$33.35	$35.99	$38.64

Source: SEC EDGAR (10-K/10-Q XBRL), market data; Ticker-to-Thesis analysis.

VALUATION · TRADING COMPARABLES

Trading comps: NKE trades at 12.3x EV/EBITDA, a 29% premium to the peer median of 9.5x

Company	Mkt cap	EV	EV / Sales	EV / EBITDA	P / E	EBIT margin	FCF yield
DECK · Deckers Outdoor	$10.8bn	$9.2bn	1.7x	6.9x	10.5x	23.1%	10.2%
LULU · Lululemon athletica	$10.8bn	$9.4bn	0.8x	3.5x	6.8x	19.9%	8.6%
VFC · VF	$6.7bn	$9.4bn	1.0x	10.9x	26.2x	6.0%	8.3%
CROX · Crocs	$5.7bn	$6.9bn	1.7x	30.2x	n/a	3.7%	11.5%
COLM · Columbia Sportswear	$3.1bn	$2.5bn	0.7x	9.5x	17.7x	6.1%	6.9%
NKE · Nike	**$56.3bn**	**$55.9bn**	**1.2x**	**12.3x**	**18.1x**	**8.2%**	**3.9%**
Peer median			1.0x	9.5x	14.1x	6.1%	8.6%

Implied value per share for NKE: EV/EBITDA: $29.48 (range $21.34–$33.82) · P/E: $29.57 (range $20.12–$41.51)

Multiples on latest reported fiscal year; EV uses the latest balance sheet. Negative or extreme multiples excluded.

VALUATION · FOOTBALL FIELD

Valuation range: methods point to $20–$69; price target $32.94



Price target = 50% × DCF perpetuity ($33.79) + 25% × DCF exit multiple ($34.70) + 25% × comps EV/EBITDA ($29.48)

Source: SEC EDGAR (10-K/10-Q XBRL), market data; Ticker-to-Thesis analysis.

SCENARIO ANALYSIS

Scenarios: $22 bear, $34 base, $55 bull (DCF value per share)

BEAR CASE

$21.58

-43% vs current price

Revenue growth	**-11.0% → +1.0%**
EBIT margin (Y5)	**9.5%**
WACC	**10.5%**
Terminal growth	**2.0%**

BASE CASE

$33.79

-11% vs current price

Revenue growth	**-8.0% → +4.0%**
EBIT margin (Y5)	**11.5%**
WACC	**9.5%**
Terminal growth	**2.5%**

BULL CASE

$54.80

+44% vs current price

Revenue growth	**-5.0% → +7.0%**
EBIT margin (Y5)	**13.5%**
WACC	**8.5%**
Terminal growth	**3.0%**

Source: SEC EDGAR (10-K/10-Q XBRL), market data; Ticker-to-Thesis analysis.

RISKS

Key risks and what would change our view

Flagged by the data

- Margin compression: EBIT margin down 3.4pp over three years; the forecast assumes a recovery, which is the key swing factor.
- Valuation leans on the terminal value (76% of DCF enterprise value), so it is sensitive to WACC and long-run growth (see sensitivity tables).
- Premium multiple (12.3x EV/EBITDA vs peers 9.5x) despite below-median growth.

Analyst view

- China keeps falling: margins stall near 7% and value drops to ~$22 (our 'stuck' case).
- Share loss to challenger running brands (On, Hoka) limits pricing power.
- Execution slips: with recovery already priced in, there is little cushion for delays.

Catalysts

- Q2 FY27 results (expected late December): first read on China and holiday sell-through.
- Signs that Greater China declines are bottoming.
- Delivery of Pace savings as restructuring charges roll off.

Source: SEC EDGAR (10-K/10-Q XBRL), market data; Ticker-to-Thesis analysis.

APPENDIX

Methodology, data and limitations

- **Data.** 10-K/10-Q XBRL facts from SEC EDGAR for NKE and 5 peers, standardised across tag changes and restatements; every value traceable to its filing (Excel: Sources sheet). Prices: Yahoo Finance / Stooq; risk-free: FRED DGS10.
- **Benchmarking.** Latest fiscal year for each company; percentile ranks oriented so 100 = best; trends use the peer median and quartiles.
- **DCF.** 5-year forecast, unlevered FCF, mid-year discounting, Gordon growth and exit-multiple terminal values.
- **WACC.** CAPM with a bottom-up beta (peer regression betas, Blume-adjusted, unlevered and relevered); cost of debt from a synthetic rating.
- **Price target.** Weighted blend of DCF (perpetuity and exit multiple) and trading comps; rating thresholds +15% / −10%.
- **Limitations.** No consensus estimates or stub-period adjustment; multiples on the latest fiscal year, not LTM; operating leases excluded from debt; peer set chosen by the analyst.

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